

Everything is survivorship bias

Success is deceptive. What you see around you are the winners. This is misleading, as it deceives us into believing success is much easier than it actually is. This leads to some people investing in restaurants and plays.

Survivorship bias rules the world around us. Anything that is successful—products, funds, people—are the result of millions of small and large failures. Success is an iterative process—we often overlook the misses, the almos, the faceplants, and the failures that precede victory. Behind every winner are hundreds or even thousands of losers, without which success could not have happened.

Counterfactual

“Invert, always invert.” So said Charlie Munger, channeling the great 19th-century Prussian mathematician Carl Gustav Jacob Jacobi.^{[112](#)} Counterfactuals are a worthwhile intellectual exercise for looking at the world from a different perspective.

Simply put, imagine the world if a specific decision never happened. A new corporate initiative is undertaken or government policy is rolled out—and they are declared ineffective. How do we know? How much worse might it have been had “X” not happened? We don’t have a lab where we can run a control group to see what happens if this decision never occurred.

The counterfactual allows us to consider the alternative universe where variations of choices are put into effect.

Time

A friend announced out of nowhere that he wanted to learn to speak fluent Italian.

“How long do you think that will take?” I asked.

Him: “Five years.”